



RETIREMENT/DEATH GRATUITIES OF EMPLOYEES

POLICY 1- 86

PURPOSE: To establish policies on retirement/death of cooperative employees

INTRODUCTION:

As of this date, 19 November 1991, no clear-cut policy on retirement/death of employees of the cooperative has been promulgated.

In the meantime, some employees have already reached the age of retirement under the provisions of the Labor Code of the Philippines.

It is therefore necessary that policies be promulgated immediately for this purpose.

DEFINITION OF TERMS:

"EMPLOYEES" means all employees from the General Manager to the lowest member of the rank-and-file.

"COOPERATIVE" means the Benguet Electric Cooperative, Inc.

POLICIES:

1. OPTIONAL RETIREMENT – employees of the cooperative may apply for retirement upon reaching the age of fifty-five (55) years.
2. COMPULSARY RETIREMENT – all employees of the cooperative shall be retired upon reaching the age of sixty (60) years.
3. TERMINAL LEAVE – retiring employees under the optional retirement or compulsory retirement plan shall be entitled to a period of fifteen (15) days terminal leave prior to the effectivity of his/her retirement for the purpose of giving ample time to relocate themselves after retirement and to pass their clearance from any accountabilities or responsibility.
4. RETIREMENT BENEFITS
 - a. Employees who are retired under the optional or compulsory retirement plan shall be entitled to retirement benefit as follows:

<u>Length of Service</u> (in years)	<u>Monthly Salary Equivalent of</u> <u>of Gratuity Pay</u>
1 to 5	1.25
6 to 10	1.5
11 to 15	1.75
16 to 20	2
above 20	2.25



RETIREMENT/DEATH GRATUITIES OF EMPLOYEES

POLICY 1-86

A fraction of at least six (6) months being considered as one year.

- b. Employees who are below the age of retirement but separated from the service by reason of voluntary resignation or circumstances beyond his control, such as bankruptcy of the cooperative, retrenchment and other similar causes which are considered valid and justifiable under the provisions of the Labor Code of the Philippines, shall be given a gratuity benefit or termination/separation pay as follows:

<u>Length of Service</u> (in years)	<u>Monthly Salary Equivalent</u> <u>of Gratuity Pay</u>
1 to 5	1
6 to 10	1.25
11 to 15	1.5
16 to 20	1.75
above 20	2

A fraction of at least six(6) months being considered as one (1) whole year.

- c. Gratuity Plan for BENECO Board of Directors.— Any member of the BENECO Board of Directors and who at the same time served as Barangay Power Association (BAPA) officers, in recognition of his/her faithful satisfactory service rendered, shall be entitled to a GRATUITY based on the following provisions:

1. Those who rendered service for ONE (1) to THREE (3) years are entitled to receive a cash amount equivalent to FORTY-FIVE THOUSAND (P45,000.00) pesos.
2. Those who rendered service from THREE (3) and ONE (1) day to SIX (6) years are entitled to NINETY THOUSAND (P90,000.00) pesos.
3. Those who rendered SIX (6) YEARS and ONE (1) day to NINE (9) years shall be entitled to ONE HUNDRED TWENTY THOUSAND (P120,000.00) pesos.
4. Directors who served as Barangay Power Association (BAPA) officers prior to his/her election as member of the BENECO Board of Directors shall be considered as service to BENECO,
5. That the maximum amount of gratuity to be paid by BENECO shall be for NINE (9) years of service rendered.

5. BASIS FOR COMPUTATION – the computation of retirement benefits shall be based on the employees last gross basic salary of pay (allowance excluded) before the date of the retirement.



RETIREMENT/DEATH GRATUITIES OF EMPLOYEES

POLICY 1-86

6. POST-RETIREMENT DISQUALIFICATION – those who have retired and received their corresponding retirement benefits shall not be rehired by the cooperative.
7. EMPLOYEES NOT ENTITLED TO RETIREMENT BENEFITS – those who have been found guilty of violating cooperative policies and/or other prescribed offenses which may warrant their dismissal from the service prior to the date of retirement shall not be entitled to retirement benefits.
8. In the event that an employee dies while still in active service, the deceased shall be considered resigned and his heirs and assignee will be awarded the benefits due a resigning employee computed according to the schedule in No. 4 above. In addition to this, the heirs/assignee shall be awarded two (2) months salary if the employee's death occurred while he was on duty; one (1) month salary if he died while off duty.

If the deceased employee at the time of his death was qualified to retire, the benefit due his heirs/assignee shall be computed according to the schedule in No. 4 above. In addition, the heirs/assignee shall also be awarded two (2) months salary if the employee's death occurred while he was on duty; one (1) month if he died off duty.

In case of casual or contractual employee who dies while in service, his heirs/assignee shall be awarded one and one-half (1 ½) months salary if the employee died while on duty; one (1) month salary if he died off duty.

EFFECTIVITY:

This policy shall take effect 01 July 1991.

APPROVED: FULGENCIO A. VIGARE, JR.
Project Supervisor/REM1

- AMENDED pursuant to Resolution 50-97 dated June 07, 1997
- Supercedes Policy 3-16, Death Benefits; 3-20, Gratuity Plan
- Policy 4.c Gratuity Plan for BENECO Board of Directors is an addendum to the policy adopted by the Board on January 14, 2000 and which took effect retroactive June 1999.



BENGUET ELECTRIC COOPERATIVE, INC.

Office of the Board of Directors
ALAPANG, LA TRINIDAD, BENGUET

-000-

REGULAR MEETING

OF THE

BENECO BOARD OF DIRECTORS

09 MARCH 2007, BENECO BLDG., KM 4, LA TRINIDAD, BENGUET

PRESENT: JOEL A ALANGSAB, *President*
PEDRO G GOLOCAN, JR., *Vice President*
BENNY O BOMOGAO, *Secretary*
MABINI C MASKAY, *Treasurer*
GEORGE D MONTES, *Auditor*
FERDY K BAYASEN, *PRO*
RIMANDO D. ANGUITAY, *Member*
ROBERTO K. CANUTO, *Member*
ZALDY B GUILENG, *Member*
WILLIAM B MENDOZA, *Member*
VIRGILIO D. ORCA, JR., *Member*
VICTORIO T. PALANGDAN, *Member*
NORMA T PARADO, *Member*
GERARDO P. VERZOSA, *General Manager*
(Ex-Officio Member)

-000-

RESOLUTION No. 36-2007

ADOPTING THE REPORT / RECOMMENDATIONS OF THE BOARD'S *COMMITTEE ON LAWS* ON THE PROPOSED AMENDMENTS TO THE BENECO POLICY No. 1-~~18~~ (GRATUITY PAY FOR THE MEMBERS OF THE BOARD)

WHEREAS, the proposed amendments to the BENECO Policy No. 1-18 (Gratuity Pay for the Members of the Board) was referred to the *Committee on Laws* for further evaluation and proper disposition;

WHEREAS, in today's meeting, the *Committee on Laws* rendered its report, hereby quoted *verbatim ac literatim* (letter for letter, word for word):

As agreed, the matter was the subject of another round of meeting by the above-mentioned committees.

As such, the committees concerned are inclined to recommend the amendment of Paragraph C of the said Policy such that it shall be amended and read as follows:

(C) GRATUITY PLAN for BENECO BOARD OF DIRECTORS: Any member of the BENECO Board of Directors, in recognition of his/her faithful and satisfactory service rendered shall be entitled to a GRATUITY based on the following:

1. A gratuity of P25,000 will be given to a Director for each year of service rendered. Provided, that he has served the cooperative at least ONE full term. Any fraction thereof shall NOT be considered for the purpose of computing one year.
2. That the maximum amount of gratuity to be paid by BENECO shall be NINE (9) YEARS of service rendered.

The effectivity of which shall be upon approval by the Board.

NOW, THEREFORE on motion duly seconded, BE IT

RESOLVED, AS IT IS HEREBY RESOLVED, to adopt the above-quoted report of the *Committee on Laws* and to approve the recommendations thereof.

"CARRIED".

CERTIFIED TRUE AND CORRECT:

BENNY O BOMOGAO
Secretary

ATTESTED:

JOEL A. ALANGSAB
President (Presiding Officer)

PREPARED BY:

ELY L. QUINTOS
Secretary to the Board



BENGUET ELECTRIC COOPERATIVE, INC.

Office of the Board of Directors
ALAPANG, LA TRINIDAD, BENGUET

POLICY No. 1-86 As Amended

RETIREMENT / DEATH GRATUITIES OF EMPLOYEES

PURPOSE: To establish policies on retirement/death of cooperative employees

INTRODUCTION:

As of this date, 19 November 1991, no clear-cut policy on retirement/death of employees of the cooperative has been promulgated. In the meantime, some employees have already reached the age of retirement under the provisions of the Labor Code of the Philippines.

It is therefore necessary that policies be promulgated immediately for this purpose.

DEFINITION OF TERMS:

"EMPLOYEES" means all employees from the General Manager to the lowest member of the rank-and-file.

"COOPERATIVE" means the Benguet Electric Cooperative, Inc.

POLICIES:

1. **OPTIONAL RETIREMENT** - employees of the cooperative may apply for retirement upon reaching the age of fifty-five (55) years.
2. **COMPULSARY RETIREMENT** - all employees of the cooperative shall be retired upon reaching the age of sixty (60) years.
3. **TERMINAL LEAVE** - retiring employees under the optional retirement or compulsory retirement plan shall be entitled to a period of fifteen (15) days terminal leave prior to the effectivity of his/her retirement for the purpose of giving ample time to relocate themselves after retirement and to pass their clearance from any accountabilities or responsibility.
4. **RETIREMENT BENEFITS**
 - a. Employees who are retired under the optional or compulsory retirement plan shall be entitled to retirement benefit as follows:

<u>Length of Service</u> (in years)	<u>Monthly Salary Equivalent of</u> <u>of Gratuity Pay</u>
1 to 5	1.25
6 to 10	1.5
11 to 15	1.75
16 to 20	2
above 20	2.25

A fraction of at least six (6) months being considered as one year.

- b. Employees who are below the age of retirement but separated from the service by reason of voluntary resignation or circumstances beyond his control, such as bankruptcy of the cooperative, retrenchment and other similar causes which are considered valid and justifiable under the provisions of the Labor Code of the Philippines, shall be given a gratuity benefit or termination/separation pay as follows:

<u>Length of Service</u> (in years)	<u>Monthly Salary Equivalent</u> <u>of Gratuity Pay</u>
1 to 5	1
6 to 10	1.25
11 to 15	1.5
16 to 20	1.75
above 20	2

A fraction of at least six(6) months being considered as one (1) whole year.

c. GRATUITY PLAN FOR BENECO BOARD OF DIRECTORS: Any member of the BENECO Board of Directors, in recognition of his/her faithful satisfactory service rendered, shall be entitled to a GRATUITY based on the following:

1. A GRAUITY of P25,000 will be given to a Director for each year of service rendered. Provided that he has served the cooperative at least ONE (1) full Term; any fraction thereof shall not be considered for the purpose of computing one year.
2. That the maximum amount of gratuity to be paid by BENECO shall be nine (9) years of service rendered.
5. BASIS FOR COMPUTATION – the computation of retirement benefits shall be based on the employees last gross basic salary of pay (allowance excluded) before the date of the retirement.
6. POST-RETIREMENT DISQUALIFICATION – those who have retired and received their corresponding retirement benefits shall not be rehired by the cooperative.
7. EMPLOYEES NOT ENTITLED TO RETIREMENT BENEFITS – those who have been found guilty of violating cooperative policies and/or other prescribed offenses which may warrant their dismissal from the service prior to the date of retirement shall not be entitled to retirement benefits.
8. In the event that an employee dies while still in active service, the deceased shall be considered resigned and his heirs and assignee will be awarded the benefits due a resigning employee computed according to the schedule in No. 4 above. In addition to this, the heirs/assignee shall be awarded two (2) months salary if the employee's death occurred while he was on duty; one (1) month salary if he died while off duty.

If the deceased employee at the time of his death was qualified to retire, the benefit due his heirs/assignee shall be computed according to the schedule in No. 4 above. In addition, the heirs/assignee shall also be awarded two (2) months salary if the employee's death occurred while he was on duty; one (1) month if he died off duty.

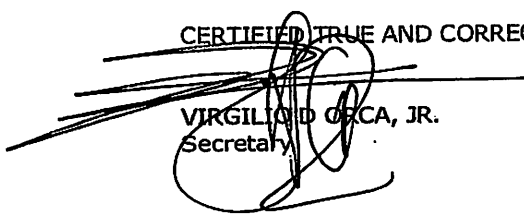
In case of casual or contractual employee who dies while in service, his heirs/assignee shall be awarded one and one-half (1 ½) months salary if the employee died while on duty; one (1) month salary if he died off duty.

EFFECTIVITY:

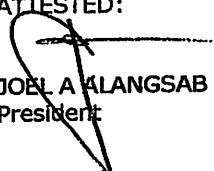
This policy shall take effect upon approval.

APPROVED by virtue of BENECO Board Resolution No. 36-2007.

CERTIFIED TRUE AND CORRECT:


VIRGIL D. ORCA, JR.
Secretary

ATTESTED:


JOEL A. ALANGSAB
President

BENGUET ELECTRIC COOPERATIVE, INC.
Alapang, La Trinidad, Benguet

ADDENDUM TO POLICY No. 1-86

SECTION C: GRATUITY PLAN FOR BENECO BOARD OF DIRECTORS – Any member of the BENECO Board of Directors and who at the same time served as Barangay Power Association (BAPA) officers, in recognition for his/her faithful satisfactory service rendered, shall be entitled to a **GRATUITY** based on the following provisions:

1. Those who rendered service for **ONE (1) to THREE (3) YEARS** are entitled to receive a cash amount equivalent to **FOURTY FIVE THOUSAND PESOS (P45,000.00)**.
2. Those who rendered service from **THREE (3) and ONE (1) DAY to SIX (6) YEARS** shall be entitled to **NINETY THOUSAND PESOS (P90,000.00)**. Don
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3. Those who rendered **SIX (6) YEARS and ONE (1) DAY to NINE (9) YEARS** shall be entitled to **ONE HUNDRED TWENTY THOUSAND PESOS (P120,000.00)**.
4. Directors who served as Barangay Power Association (BAPA) officers prior to his/her election as member of the BENECO Board of Directors shall be considered as service to BENECO.
5. That the maximum amount of gratuity to be paid by BENECO shall be for **NINE (9) YEARS** of service rendered.

EFFECTIVITY: This addendum shall take effect on June 1999.

Approved this 14th day of January 2000 during a regular meeting of the Board of Directors, La Trinidad, Benguet.


APPROVED: ATTY. ROBERTO K. CANUTO
President


ATTESTED: NORMA T. PARADO
Secretary



BENGUET ELECTRIC COOPERATIVE, INC.

Alapang, La Trinidad, Benguet
Tel. Nos. 43-22-110; 43-22-000
P.O. Box 259, Baguio City

23 July 1997

FOR: *[Signature]*
: THE GENERAL MANAGER
: THE ASSISTANT GENERAL MANAGER
: ALL DEPARTMENT MANAGERS - ISD
: THE SUB-AREA MANAGER
: THE ADMINISTRATIVE MANAGER
: ALL EMPLOYEES
THRU THE: BSA PRESIDENT & OFFICERS
: BELU PRESIDENT & OFFICERS

Please allow me to rectify an error in the copies of the Board Resolution No. 50-97 (approving the proposed amendments to the BENECO Policy No. 1-86, re: retirement benefits) which I furnished your respective offices a few weeks ago.

In it, it was erroneously indicated that retiring employees, after having rendered more than 20 years of service, are entitled to a gratuity pay equivalent to 2 months salary for every year of service and employees voluntarily resigning after more than 20 years of service are entitled to a gratuity pay equivalent to 2.25 months salary for every year of service.

It should be the other way around. Mea culpa.

Attached here is the corrected copy of said resolution for your information and file.

May I request your usual cooperation in the effective dissemination of this information within your respective areas of responsibilities.

Thank you.

[Signature]
SLY SYLVESTRE L. QUINTOS
Secretary to the Board

cc: files

BENGUET ELECTRIC COOPERATIVE (BENECO), INC.
Office of the Board of Directors
RM 4, LA TRINIDAD, BENGUET

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REGULAR MEETING
of the
BENECO BOARD of DIRECTORS
07 JUNE 1997, RM 4, LA TRINIDAD, BENGUET

PRESENT: RUFINO M PANAGAN, President
BORRORNEO P MELCHOR, Vice President
RAMON S DACAWI, Secretary / PRO
FERNANDO I PUKIAS, Treasurer
PABLO M TICWALA, Auditor
PETER E BENGWASAN, Member
FRANCISCO U BONA, JR., Member
ROBERTO K CANUTO, Member
BENEDICTO S FIANZA, Member
EDUARDO G GALAGAL, Member
WILLIAM B MENDOZA, Member
GERARDO P VERZOSA, General Manager
(Ex-Officio Member)

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RESOLUTION No. 50-97

**APPROVING THE PROPOSED AMENDMENTS
TO THE BENECO POLICY No. 1-86
RE: RETIREMENT BENEFITS**

WHEREAS, there is inconsistency in the provisions of the BENECO Policy on Retirement, to wit:

Policy No. 1-86 (dated 18 December 1986) provides that employees who are retired under the optional retirement plan or compulsory retirement shall be entitled to a retirement benefit as follows: c) Those who have rendered service of more than twenty (20) years shall be entitled to receive a cash amount equivalent to ONE and THREE-FOURTHS (1 and 3/4) months salary for every year of service, a fraction of a least six (6) months being considered as one (1) whole year.

The ADDENDUM to POLICY No. 1-86 (dated January 1992) provides that (Section B: VOLUNTARY RESIGNATION or SEPARATION FROM THE SERVICE BELOW THE RETIREMENT AGE: Employees who are below the age of retirement but separated from the service by reason of voluntary resignation or circumstances beyond his control, such as bankruptcy of the cooperative, retrenchment and other similar causes which are considered valid and justifiable under the provisions of the Labor Code of the Philippines, shall be given a gratuity benefit or termination/separation pay in the following manner: c) Those who rendered service above

twenty-one (21) years are entitled to receive a cash amount equivalent to TWO (2) MONTHS salary for every year of service, fraction of at least six (6) months being considered as one (1) whole year".

WHEREAS, the Policy Development Committee and the Personnel Development Committee, to which this matter is referred, are recommending the amendment, correction of the above-cited inconsistency of the Policy;

NOW, THEREFORE, on a joint motion of Directors R. K. Canuto and F. U. Bona, Jr., Chairmen of the Policy Development Committee and the Personnel Development Committee, respectively, and duly seconded by Directors B. P. Melchor and P. M. Ticwala, BE IT

RESOLVED, AS IT IS HEREBY RESOLVED, to amend and therefore set the Policy on Retirement straight, to wit:

"Employees who are retired under the optional retirement plan or compulsory retirement shall be entitled to a retirement benefit as follows:

<u>LENGTH of SERVICE</u> (IN YEARS)	<u>MONTHLY SALARY EQUIVALENT</u> <u>OF GRATUITY PAY</u>
1 to 5	1.25
6 to 10	1.5
11 to 15	1.75
16 to 20	2
above 20	2.25

A fraction of at least six (6) months being considered as ONE (1) whole year.

"Employees who are below the age of retirement but separated from the service by reason of voluntary resignation or, circumstances beyond his control, such as bankruptcy of the cooperative, retrenchment and other similar causes which are considered valid and justifiable under the provisions of the Labor Code of the Philippines, shall be given a gratuity benefit or termination/separation pay in the following manner:

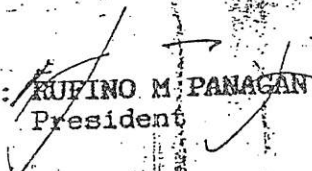
<u>LENGTH of SERVICE</u> (IN YEARS)	<u>MONTHLY SALARY EQUIVALENT</u> <u>OF GRATUITY PAY</u>
1 to 5	1
6 to 10	1.25
11 to 15	1.5
16 to 20	1.75
above 20	2

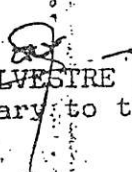
A fraction of at least six (6) months
being considered as ONE (1) whole year.

"CARRIED".

CERTIFIED TRUE and CORRECT:


RAMON S. DACAWI
Secretary / PRO

ATTESTED: 
RUFINO M. PANAGAN
President


PREPARED BY: SLY SYLVESTRE L. QUINTOS
Secretary to the Board

BENGUET ELECTRIC COOPERATIVE, INC.
Alapang, La Trinidad, Benguet

11 March 1997

THE HONORABLE MEMBERS
BENECO Board of Directors
Allied Bank, La Trinidad

Sirs:

There was a noted disparity in the Policy 1-86 such that the computation of retirement benefit for retiring employees is lower than the separation pay of those who voluntary resigns from Beneco below the retirement age.

Attached proposed amendment has been previously submitted to the Board for consideration of which was forwarded to the Personnel Committee chaired by then Dir. Reynario Francisco but no action has been done. May we once again appeal for your favorable consideration. This would eventually encourage the employees to work sincerely for Beneco's cause up to their retirement age.

Thank your very much.

Very truly yours,

3/11
GERARDO P. VERZOSA
General Manager

cc:

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BEIU
file

3/11/97

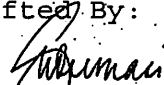
11 March 97

BENGUET ELECTRIC COOPERATIVE, INC.
Alapang, La Trinidad, Benguet

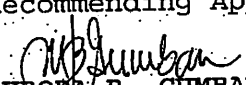
AMENDMENTS TO POLICY 1-86
Sections 3 and 4

3. Retirement Leave - Retiring employees under the optional or compulsory retirement plan shall be entitled to a retirement leave for a period of fifteen (15) days. Retirement leave with pay shall be granted prior to the effectivity of his/her retirement for the purpose of giving ample time to relocate themselves after retirement and to pass their clearances from any accountability or responsibility.
4. Retirement Benefits- Employees who are retired under the optional or compulsory plan shall be entitled to the following benefits:
 - a. Those who rendered service from one (1) to five (5) years are entitled to receive a cash amount equivalent to one and one fourth months salary ($1 \frac{1}{4}$) for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - b. Those who rendered service from six (6) to ten (10) years are entitled to receive a cash amount equivalent to one and a half ($1 \frac{1}{2}$) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - c. Those who have rendered service from eleven (11) to fifteen (15) years are entitled to receive a cash amount equivalent to one and three fourth ($1 \frac{3}{4}$) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - d. Those who rendered service from sixteen (16) to twenty (20) years are entitled to receive a cash amount equivalent to two (2) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - e. Those who rendered service above 20 years are entitled to receive a cash amount equivalent to two and one fourth ($2 \frac{1}{4}$) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.

Drafted By:


JOSEFINA A. DUMASI s/11
Fin Audit Supervisor

Recommending Approval:


AURORA B. GUMBAN
Manager, IAD

EXISTING			PROPOSED	
Terminal/Retirement Leave	Terminal Leave-15 days with pay		Retirement leave - 15 days with pay	
	Retirement Benefits	Voluntary Resignation/Separation from the service below Retirement Age	Retirement Benefits	Voluntary Resignation
Retirement Benefits	1-10 yrs. - one(1) mo. salary for every year of service	1-5 yrs. - one(1) mo. salary for every year of service	1-5 yrs. - one & one fourth(1 1/4) mos. salary for every year of service	To maintain existing policy
	11-20 yrs. - one & one half (1 1/2) mos. salary for every year of service	6-10 yrs. - one and one fourth (1 1/4) mos. salary for every year of service	6-10 yrs. - one and a half(1 1/2) mos. salary for every year of service	
Retirement Age-60 yrs, old) Optional - 55 years old)	above 20 yrs. - one & three fourths (1 3/4) mos. salary for every year of service	11-15 yrs. - one and one half (1 1/2) mos. salary for every year of service	11-15 yrs. - one and three fourths (1 3/4)mos. salary for every year of service	
		16-20 yrs.- one and three fourth (1 3/4) mos. salary for every year of service	16-20 yrs. - two mos. (2) salary for every year of service	
		above 20 yrs.- two (2) mos. salary for every year of service	above 20 yrs.- two and one fourth mos. (2 1/4) salary for every year of service	

W. J. Hudson

REGULAR MEETING
of the
BENECO BOARD of DIRECTORS
06 JULY 1996, KM 4, LA TRINIDAD, BENGUET

PRESENT: RUFINO M PANAGAN, President
ESTEBAN B BUSOY, Vice President
RAMON S DACAWI, Secretary / PRO
FRANK A PAGNAS, Treasurer
FERNANDO I PUKIAS, Auditor
DARWIN L BADECAO, Member
CARLOS M DUMASI, SR., Member
FRANCISCO U BONA, JR., Member
EDUARDO G GALAGAL, Member
FELIPE P KINGAY, Member
PABLO M TICWALA, Member
GERARDO P VERZOSA, General Manager
(Ex-Officio Member)

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RESOLUTION No. 85-96

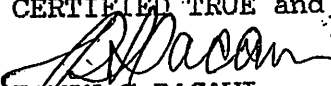
ADOPTING THE PROPOSED ADDENDUM
TO BENECO POLICY No. 3-16, Series of 1979.

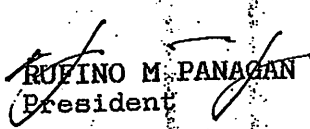
NOW, THEREFORE, on motion of Director E. B. Busoy and
duly-seconded by Directors F. I. Pukias and D.
L. Badecao, BE IT

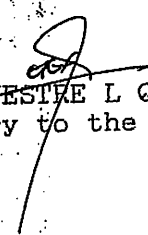
RESOLVED, AS IT IS HEREBY RESOLVED, to adopt the
proposed addendum to the BENECO Policy No. 3-
16, Series of 1979 granting P10,000 to the
heirs of deceased members of the Board of
Directors.

"CARRIED".

CERTIFIED TRUE and CORRECT:


RAMON S DACAWI
Secretary / PRO

ATTESTED: 
RUFINO M. PANAGAN
President


PREPARED BY: SLY SYLVESTER L QUINTOS
Secretary to the Board



BENGUET ELECTRIC COOPERATIVE, INC.

Alapang, La Trinidad, Benguet
Tel. Nos. 43-22-110; 43-22-000
P.O. Box 259, Baguio City

July 05, 1995

THE HONORABLE MEMBERS
BENECO Board of Directors
Alapang, La Trinidad, Benguet

Gentlemen and Lady:

This refers to Item D of the Revised Guidelines on Benefits, Allowances and other Incentives to EC Officers and Employees which is embodied in the NEA Memorandum to all electric cooperatives dated December 01, 1994, a xerox copy is attached for your ready reference.

Item D of subject guidelines provides for a P2,500.00 Death Assistance "... in case of death of an officer or employee or any of the immediate members of his/her family..."

To address the concerns of all officers and employees of the Cooperative in times of death, it is strongly recommended that the Board adopt the same, retroactive to the date the revised guidelines were passed.

However, for humanitarian reasons, it is further recommended that we increase the Death Assistance from P2,500.00 to P5,000.00. This is equal to the humanitarian assistance we give to victims of electrocution.

Thank you and we look forward to your favorable action on this matter.

Very truly yours,

Gerardo P. Verzosa
GERARDO P. VERZOSA
General Manager

cc: admin file 7/10/95

AREA COVERAGE:
BAGUIO CITY * BENGUET PROVINCE

BENGUET ELECTRIC COOPERATIVE (BENECO), INC.
Alapang, La Trinidad, Benguet
Tel. Nos. 43-22-110 / 43-22-000

-ooo-

REGULAR MEETING
OF THE
BENECO BOARD OF DIRECTORS
15 JULY 1995, KM 4, LA TRINIDAD, BENGUET

PRESENT: ESTEBAN B BUSOY, President
CARLOS M DUMASI, SR., Vice President
FRANK A PAGNAS, Secretary
FRANCISCO U BONA, JR., Treasurer
FERNANDO I PUKIAS, Auditor
DARWIN L BADECAO, Member
RAYMOND P BOTENGAN, Member
DIANA T CARBONELL, Member
FELIPE P KINGAY, Member
RUFINO M PANAGAN, Member
PABLO M TICWALA, Member

ALSO PRESENT: GERARDO P VERZOSA, General Manager
(Ex-Officio Member)

-ooo-

RESOLUTION NO. 105-95

APPROVING THE MANAGEMENT'S RECOMMENDATION
TO AMEND THE ITEM "D"
OF THE REVISED GUIDELINES ON BENEFITS, ALLOWANCES,
AND OTHER INCENTIVES TO ELECTRIC COOPERATIVE'S
EMPLOYEES AND OFFICERS SUBJECT TO NEA'S APPROVAL

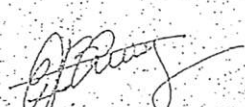
WHEREAS, the Item "D" of the Revised Guidelines on Benefits, Allowances, and other Incentives to electric cooperatives' officers and employees as embodied in a memorandum by the National Electrification Administration (NEA) dated 01 December 1994 provides for a P2,500 assistance "in cases of death of an officer or employee or any of the immediate members of his/her family";

WHEREAS, the management is recommending the amendment of the aforesaid provision and increase the Death Assistance from P2,500.00 to P5,000.00 retroactive to the date the revised guidelines were passed;

WHEREAS, the management is likewise recommending the same Death Assistance be extended to victims of electrocution;

NOW, THEREFORE, on motion of Dir. F. I. Pukias and duly seconded by Directors D. L. Badecao and F. P. Kingay, BE IT

RESOLVED, AS IT IS HEREBY RESOLVED, to pronounce as meritorious and therefore APPROVED the foregoing management's recommendations to increase the Death Assistance to P5,000.00 usually and normally extended to the officers and employees of the BENECO and their immediate members of their families and the victims of electrocution.



RESOLVED FURTHER and FINALLY, that the same will be
subject to approval of the National
Electrification Administration (NEA).

"CARRIED."

CERTIFIED TRUE and CORRECT.


FRANK A. PAGNAS
Secretary


ATTESTED: ESTEBAN B. BUSOY
President


PREPARED BY: SLY SYLVESTRE L. QUINTOS
Secretary to the Board

OK - *file*

BENQUET ELECTRIC COOPERATIVE, INC.

Magayasa Avenue Baguio City
837372421268424222554426663

February 19, 1994

The Honorable Board of Directors
Benquet Electric Cooperative
Baguio City

Gentlemen and Lady:

Endorsing to your good office the proposed amendment to Policy 1-86 on Retirement/ Death Gratuities of Employees particularly Sections 3 and 4.

With the existing policy, there is a conflict between the Retirement Benefits and the Voluntary Resignation/Separation Benefits as presented in the attached tabulation. With the proposed amendment, we hope we have addressed the matter fairly.

Very truly yours,

GERARDO P. VERZOSA
General Manager

ARERACOVYDAGE:
DABAGCICITYBENQUETPROVINCE

BENGUET ELECTRIC COOPERATIVE INC.
Magsaysay Avenue, Baguio City

February 10, 1994

Amendment to Policy 1 - .86
Sections 3 and 4

3. Retirement Leave - Retiring employees under the optional retirement plan or compulsory retirement plan shall be entitled to a period of fifteen days Retirement leave with pay prior to the effectivity of his/her retirement for the purpose of giving ample time to relocate themselves after retirement and to pass their clearances from any accountability or responsibility.
4. Retirement Benefits - Employees who are retired under the optional retirement plan or compulsory retirement shall be entitled to a retirement benefit as follows:
 - a. Those who rendered service from one (1) to five (5) years are entitled to receive a cash amount equivalent to one and one fourth month salary ($1 \frac{1}{4}$) for every year of service, a fraction of at least six (6) mos. being considered as one (1) whole year.
 - b. Those who rendered service from six (6) to ten (10) years are entitled to receive a cash amount equivalent to one and a half ($1 \frac{1}{2}$) mos. salary for every year of service, a fraction of at least six (6) mos. being considered as one (1) whole year.
 - c. Those who have rendered service from eleven (11) to fifteen (15) years are entitled to receive a cash amount equivalent to one and three fourths ($1 \frac{3}{4}$) mos. pay for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - d. Those who rendered service from sixteen (16) to twenty (20) years are entitled to receive a cash amount equivalent to two (2) months pay for every year of service, a fraction of at least six (6) mos. being considered as one (1) whole year.
 - e. Those who rendered service 21 years and above are entitled to receive a cash amount equivalent to two and one fourth ($2 \frac{1}{4}$) mos. salary for every year of service, a fraction of at least six (6) mos. being considered as one (1) whole year.

Drafted By:

Josephina A. Puhaci
JOSEFINA A. PUHACI
F.N. Audit Supervisor

Recommending Approval:

Aurora B. Gumban
AURORA B. GUMBAN
Manager, IAD

Existing

3. Terminal/Retirement Leave - 15 days with pay

Proposed

Retirement Leave - 15 days with pay

4. Retirement Benefits
(Retirement Age 60 yrs. old)
(Optional - 55 yrs. old)

Retirement Benefits

Voluntary Resignation/Separation from the service below Retirement Age

1-10 yrs. - one (1) mo. salary for every year of service	1-5 yrs. - one (1) mo. salary for every year of service	1-5 yrs. - one & one fourth (1 1/4) mos. salary for every year of service
11-20 yrs. - one & one half (1 1/2) mo. salary for every year of service	6-10 - one and one fourth (1 1/4) mo. salary for every year of service	6-10 yrs. - one & a half (1 1/2) mos. salary for every year of service
above 20 yrs. - one & three fourths (1 3/4) mo. salary for every year of service	11-15 - one and one half (1 1/2) mo. salary for every year of service	11-15 - one & three fourths (1 3/4) mos. salary for every year of service
	16-20 - one and three fourth (1 3/4) mo. salary for every year of service	16-20 - two mos. salary for every year of service
	above 20 - two (2) mos. salary for every year of service	above 20 - two & one fourth (2 1/4) mos. salary for every year of service



BENGUET ELECTRIC COOPERATIVE, INC.

Benitez Court, R. Magsaysay Avenue, Baguio City
Tel. Nos. 442-5337/442-2186/442-2225/442-6663

04 January 1992

[Handwritten signature]
[Handwritten signature]
[Handwritten signature]
1/7/92

ATTY. FULGENCIO A. VIGARE, JR.
Project Supervisor/REM I
ITC, Agoo, La Union

S i r:

In view of giving a better gratuity/separation pay to employees who have served the Cooperative for a considerable number of years, Management feels to spell out and extend a commensurate amount of cash based on the length of service.

Attached for your consideration is the addendum on Policy 1-86 particularity Section 8 for your evaluation.

We hope for your usual favorable action.

Thank you very much.

Very truly yours,

[Handwritten signature of Gerardo P. Verzosa]
GERARDO P. VERZOSA
Acting General Manager

AREA COVERAGE:
BAGUIO CITY * BENGUET PROVINCE



BENGUET ELECTRIC COOPERATIVE, INC.

Benitez Court, R. Magsaysay Avenue, Baguio City
Tel. Nos. 442-5337/442-2186/442-2225/442-6663

ADDENDUM TO POLICY 1-86

Section 8. Voluntary Resignation or Separation from the Service Below Retirement Age. Employees who are below the age of retirement but separated from the service by reason of voluntary resignation or circumstances beyond his control, such as bankruptcy of the Coop, retrenchment and other similar causes which are considered valid and justifiable under the provisions of the Labor Code of the Philippines, shall be given a gratuity benefit or termination/separation pay in the following manner:

- a. Those who rendered service from one (1) to five (5) years are entitled to receive a cash amount equivalent to one (1) month salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
- b. Those who rendered service from six (6) to ten (10) years are entitled to receive a cash amount equivalent to one and one fourth ($1\frac{1}{4}$) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
- c. Those who rendered service from eleven (11) to fifteen (15) years are entitled to receive a cash amount equivalent to one and one half ($1\frac{1}{2}$) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
- d. Those who rendered service from sixteen (16) to twenty (20) years are entitled to receive a cash amount equivalent to one and three-fourths ($1\frac{3}{4}$) months pay for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
- e. Those who rendered service above 21 years are entitled to receive a cash amount equivalent to two (2) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.

Effectivity: This addendum shall take effect January 1992.

Recommending Approval

GERARDO P. VERZOSA

Acting General Manager



BENGUET ELECTRIC COOPERATIVE, INC.

Benitez Cpd., Magsaysay Ave., Baguio City
Tel. # 442-53-37, 442-22-25, 442-21-86

17 December 1991

ATFY. FULGENCIO A. VIGARE, JR.
REM I/BENECO Project Supervisor
IRETC, Ago, La Union

S i r :

May we seek your kind approval of the hereto revised policy on Retirement/Death Gratuities of Employees. There was no clear-cut policy on the death of employees embodied on Policy No. 1-86 series of 1986, hence, the Management viewed that we should adopt one in recognition of the services rendered by the deceased employee as well as to give full financial support to the bereaved family. An addendum was promulgated to this effect and may we refer you to No. 9 hereof for its particulars.

Thank you and we highly anticipate your kind approval of the policy for the benefit of the employees.

Merry Christmas and a Prosperous New Year ! ! !

Very truly yours,

Gerardo P. Verza
GERARDO P. VERZA
Acting General Manager

cc: All Mgmt. Assts.
file

Approved:
[Signature]
12/18/91

BENGUET ELECTRIC COOPERATIVE, INC.
Benitez Court, Magsaysay Avenue
Baguio City

ADDENDUM TO POLICY 1-86

SUBJECT: RETIREMENT/DEATH GRATUITIES OF EMPLOYEES.

PURPOSE: To establish policies on retirement/death of employees of the Cooperative.

INTRODUCTION:

As of this date, 19 November 1991, no clear-cut policy on retirement/death of employees of the Cooperative has been promulgated. In the meantime, some employees are already considered retireable under the provisions of the Labor Code of the Philippines. It is, therefore, necessary that policies be promulgated immediately for this purpose.

DEFINITION OF TERMS:

"Employees" means all employees from the General Manager to the lowest member of the rank and file.

"Cooperative" means the Benguet Electric Cooperative, Inc. (BENECO).

POLICIES:

1. Optional Retirement. - Employees of the Cooperative may apply for retirement upon reaching the age of fifty-five (55) years.
2. Compulsory Retirement. - All employees of the Cooperative shall be retired upon on reaching the age of sixty (60) years.
3. Terminal Leave. - Retiring employees under the optional retirement plan or compulsory retirement plan shall be entitled to a period of fifteen (15) days terminal leave with pay prior to the effectivity of his/her retirement for the purpose of giving ample time to relocate themselves after retirement and to pass their clearances from any accountability or responsibility.
4. Retirement Benefits. - Employees who are retired under the optional retirement plan or compulsory retirement shall be entitled to a retirement benefit as follows:
 - a. Those who rendered service of one (1) to ten (10) years are entitled to receive a cash amount equivalent to one (1) month salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - b. Those who rendered service of more than ten (10) years but not more than twenty (20) years shall be entitled to receive a cash amount equivalent to one and one half (1 1/2) months salary for every year of service, a fraction of at least six (6) months being considered as one (1) whole year.
 - c. Those who have rendered service of more than twenty (20) years shall be entitled to receive a cash amount equivalent to one and three fourths (1 3/4) months salary for every year of service, a fraction of at least six (6) months being considered one (1) whole year.
5. Basis of Computation. - The computation of retirement benefits shall be based on the employee's last gross basic salary or pay (allowance excluded) before the date of retirement.
6. Post-Retirement Disqualification. - Those who have retired and received their corresponding retirement benefits shall not be rehired by the

7. Employees Not Entitled to Retirement benefits. - Those who have been found guilty of violating Coop policies and/or other prescribed offenses which may warrant their dismissal from the service prior to the date of retirement shall not be entitled to retirement benefits.
8. Voluntary Resignation or Separation from the Service Below Retirement Age - Employees who are below the age of retirement but separated from the service by reason of voluntary resignation or circumstances beyond his control, such as bankruptcy of the Coop, retrenchment and other similar causes which are considered valid and justifiable under the provisions of the Labor Code of the Philippines, shall be given a gratuity benefit or termination/separation pay equivalent to one (1) month gross basic salary for every year of service.
9. In the event than an employee dies while still in active service, the deceased employee shall be considered resigned and his heirs and assigns will be awarded the benefits due a resigning employee computed according to the schedule in No. 8 above. In addition to this, the heirs/assigns shall also be awarded two (2) months salary if the employees death occurred while he was on duty; one (1) month salary if he died while off duty.

If the deceased employee at the time of his death was qualified to retire under No. 4 above, the gratuity due his heirs/assigns shall be computed according to the schedule in No. 4 above. In addition to this, the heirs/assigns shall also be awarded two (2) months salary if the employees death occurred while he was on duty; one (1) month salary if he died while off duty.

In the case of casual or contractual employee who dies while in the service, his heirs or assigns shall be awarded one and one half (1 1/2) months salary if the employee died while on duty; one (1) month salary if he died while off duty.

All previous resolutions, policies inconsistent herewith are repealed or modified accordingly.

EFFECTIVITY:

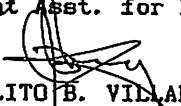
This Policy shall take effect July 01, 1991.

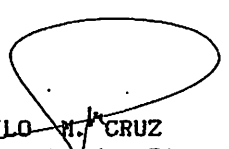
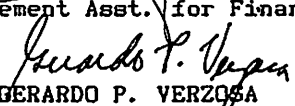
IMPLEMENTATION:

The General Manager/Acting General Manager shall be responsible for the implementation of this Policy.

RECOMMENDING APPROVAL:


NORA I. RIVERA
Management Asst. for Inst. Dev't.


JOSELITO B. VILLAREY
Management Asst. for Engineering


DANILO M. CRUZ
Management Asst. for Finance

GERARDO P. VERZOSA
Acting General Manager

APPROVED:


FULGENCIO A. VIGARE, JR.
Project Supervisor, BENEKO
Regional Electrification Mgr. I